

the president.

In the unlikely event that investor relations gives you the cold shoulder, you can tell them that you own 20,000 shares and are trying to decide whether to double your position. Then casually mention that your shares are held in “street name.” That ought to warm things up. Actually I’m not recommending this, but fibbing is something that some people would think of, and the odds of your being caught in it here are nil. The company has to take your word for the 20,000 shares, because shares held in street name are lumped together by the brokerage firms and stored in an undifferentiated mass.

Before you call the company, it’s advisable to prepare your questions, and you needn’t lead off with “Why is the stock going down?” Asking why the stock is going down immediately brands you as a neophyte and undeserving of serious response. In most cases a company has no idea why the stock is going down.

Earnings are a good topic, but for some reason it’s not regarded as proper etiquette to ask the company “How much are you going to make?” any more than it’s proper etiquette for strangers to ask you your annual salary. The accepted form of the question is subtle and indirect: “What are the Wall Street estimates of your company’s earnings for the upcoming year?”

As you already know by now, future earnings are hard to predict. Even the analysts vary widely in their predictions, and companies themselves can’t be sure how much they’ll earn. The people at Procter and Gamble have a pretty good idea, since that company makes 82 different products in 100 different brands and sells them in 107 different countries, so everything tends to even out. But the people at Reynolds Metals couldn’t possibly tell you, because it all depends on aluminum prices. If you ask Phelps Dodge what it will earn next year, Phelps Dodge will turn around and ask you what the price of copper is going to be.

What you really want from investor relations is the company’s reaction to whatever script you’ve been trying to develop. Does it make sense? Is it working? If you wonder if the drug Tagamet will have a significant effect on SmithKline’s fortunes, the company can tell you that—and they can also give you the latest figures for Tagamet sales.

Is there really a two-month backlog on orders for Goodyear tires, and have tire prices really gone up as you’ve concluded from local evidence? How many new Taco Bells are being built this year? How much market share has Budweiser added? Are the Bethlehem Steel plants running at full capacity? What’s the company’s estimate of the market value of its cable TV properties? If your story line is well-defined, you’ll know what points to check.

Better that you lead off with a question that shows you’ve done some research on your own, such as: “I see in the last annual report that you reduced debt by \$500 million. What are the plans for further debt reduction?” This will get you a